

Politically Exposed Person and Head of International Organization Determination

GUIDELINES

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1 Purpose

This document provides guidance on making a Politically Exposed Person (PEP) or a Head of International Organization (HIO) determination and their related recordkeeping requirements.

This document applies to all employees who open, maintain, make changes to, or periodically review personal and organizational membership accounts.

Refer to the PEP/HIO Procedures for further guidance on documenting PEP/HIOs in the Banking System.

2 Overview

PEPs and HIOs are individuals in a prominent position of power which often presents the opportunity to influence policy decisions, institutions, and procedures in the allocation of resources or finances. Their role and encompassing responsibilities may expose them to situations where they are potentially vulnerable to corruption.

PEPs and HIOs, their family members, and close associates, are possible targets of criminal exploitation through engaging in Money Laundering (ML) and/or Terrorist Activity Financing (TF) activities, either knowingly or through willful blindness. The Credit Union must take reasonable measures to identify PEPs and HIOs, their family members, and close associates and comply with regulatory obligations for managing business relationships, or transactions connected with these individuals.

3 PEP/HIO Definitions

An individual deemed to be any of the following is considered a PEP/HIO:

An assessment is required to determine if an individual holds PEP/HIO status:	
Domestic PEP Status	• Domestic Politically Exposed Person • Family Member of a Domestic Politically Exposed Person • Close Associate of a Domestic Politically Exposed Person
Foreign PEP Status	• Foreign Politically Exposed Person • Family Member of a Foreign Politically Exposed Person • Close Associate of a Foreign Politically Exposed Person
HIO Status	• Head of an International Organization • Family Member of a Head of an International Organization • Close Associate of a Head of an International Organization

4 Transparency, Anti-bribery, and Anti-corruption

The Credit Union is required to consider the potential risk of sanctions and related measures against corrupt foreign officials as part of our collective risk-based approach. This encompasses the Credit Union's obligation to determine when reporting requirements apply, including Suspicious Transaction Reports (STR) and Listed Person or Entity Property Reports (LPEPR). Therefore, enhanced due diligence measures are necessary to evaluate the risk associated with politically exposed memberships.

4.1 Corruption Perceptions Index

Transparency International is an independent, non-governmental, and not-for-profit organization. The organization's mission is to stop corruption and promote transparency, accountability, and integrity at all levels and across all sectors of society around the world.

The [Corruption Perceptions Index \(CPI\)](#) is an annually published tool which scores the *perceived* extent of corruption for each country around the world. The data sources used to evaluate the scores include information from a variety of reputable institutions, including the World Bank and the World Economic Forum.

A country's score is derived from the perceived level of public sector corruption on a scale of 0-100, where 0 equals highly corrupt and 100 is very clean. Employees may reference the CPI to support awareness of the potential level of risk posed by Foreign PEPs.

4.2 Sanctions Against Corrupt Foreign Officials

The following Acts are currently in force and pertain to bribery, corruption, and human rights violations:

- Justice for Victims of Corrupt Foreign Officials Act
- Freezing Assets of Corrupt Foreign Officials Act
- Corruption of Foreign Officials Act

5 PEP/HIO Classifications

5.1 Domestic Politically Exposed Person

A Domestic Politically Exposed Person (Domestic PEP) is an individual, who holds or has held within the last five (5) years, one of the following offices/positions, in or on behalf of, a Canadian federal, provincial/territorial, or municipal government:

- Governor General, Lieutenant Governor, or head of government
- Member of the Senate or House of Commons or member of a legislature
- Deputy Minister or equivalent rank
- Ambassador, or attaché or counsellor of an ambassador

- Military officer with a rank of general or above
- President of a corporation that is wholly owned directly by Her Majesty in right of Canada or a province
- Head of a government agency
- Judge of an appellate court in a province, the Federal Court of Appeal, or the Supreme Court of Canada
- Leader or president of a political party represented in a legislature
- Mayor

5.1.1 Duration of Status

A Domestic PEP loses their Domestic PEP status:

- Five (5) years after they leave office; or
- Five (5) years after they are deceased

5.2 Foreign Politically Exposed Person

A Foreign Politically Exposed Person (Foreign PEP) is an individual who holds or has ever held one of the following offices or positions in or on behalf of a foreign state:

- Head of state or head of government
- Member of the executive council of government or member of a legislature
- Deputy minister or equivalent rank
- Ambassador, or attaché or counsellor of an ambassador
- Military officer with a rank of general or above
- President of a state-owned company or state-owned bank
- Head of a government agency
- Judge of a supreme court, constitutional court, or other court of last resort
- Lead or president of a political party represented in a legislature

5.2.1 Duration of Status

A person is determined to be a Foreign PEP:

- regardless of citizenship, residence status, or birthplace
- is a Foreign PEP forever (a Foreign PEP remains as one even after they are deceased)

5.3 Heads of International Organizations

The Head of an International Organization (HIO) is an individual, who holds or has held, within the last five (5) years, the specific office/position that heads/leads an international organization and the international organization is either:

- an international organization established by the governments of states,
- an institution established by an international organization, or
- an international sports organization

5.3.1 International Organizations

An international organization is an institution established, through a formally signed agreement between the governments of more than one country. Its existence as an entity is distinct from its member countries and is not recognized as a resident organization of any specific country.

Examples of International Organizations:

- North Atlantic Treaty Organization—NATO (established by the North Atlantic Treaty)
- International Union for Conservation of Nature (established by the act International Union for Protection of Nature)
- International Energy Forum (established by the International Energy Forum Charter)

Examples of Institutions *established* by International Organizations:

- World Health Organization (established by the constitution of the World Health Organization)
- International Monetary Fund (established by the Articles of Agreement of the International Monetary Fund)
- World Trade Organization (established by the Marrakesh Agreement)

5.3.2 Duration Of Status

A HIO loses their HIO status:

- Five (5) years after they are no longer the head of the organization/institution, or
- Five (5) years after they are deceased

5.4 Family Member of a PEP/HIO

Under the PCMLTFA Regulations, certain relatives of a PEP or HIO are required to be determined as family members of a Domestic PEP, Foreign PEP, or HIO. This determination is extended to the following family members:

• Spouse or common-law partner	• Mother(s) or father(s)
• Former spouses/common-law partner	• Mother(s) or father(s) of their spouse or common-law partner (mother-in-law/ father-in law)
• Biological or adoptive child(ren)	• Siblings (brother(s)/sister(s))

5.4.1 Duration Of Status

- Any individual identified as a family member of a Domestic PEP/HIO remains a family member of a Domestic PEP/HIO five (5) years after the Domestic PEP/HIO leaves office or becomes deceased
- Any individual identified as a family member of a Foreign PEP will remain a family member of a Foreign PEP forever

5.5 Close Associate of a PEP/HIO

A close associate can be an individual who is connected to a Domestic PEP, Foreign PEP, or HIO for personal or business reasons.

The term 'close associate' is not intended to encompass every person in an individual's circle; it is meant to include relationships where there is potential for concealment of funds or assets obtained through illegal means including bribery and corruption.

Close associates can be any individual with a close relationship to a Domestic PEP, Foreign PEP, or HIO and may include but is not limited to:

• Business partners of, or those who beneficially own or control a business with a PEP/HIO
• Romantic relationships with a PEP/HIO
• Involvement in financial transactions with a PEP/HIO
• Prominent members of the same political party or union as a PEP/HIO
• Members of the same board as a PEP/HIO
• Carrying out charitable works closely with a PEP/HIO
• Being joint on a policy where one of the holders may be a PEP/HIO
• Family members not captured under the above category such as stepchild/step sibling where there was no legal adoption or nieces/nephews

5.5.1 Duration Of Status

An individual identified as a close associate of a Domestic PEP, Foreign PEP, or HIO ceases to be a close associate when they lose the connection.

6 Making a PEP/HIO Determination

A determination of PEP/HIO status must be made for:

- All personal members and their agents (e.g., Power of Attorney, Representative, Committee, Public Guardian & Trustee)
- Beneficial owners/controlling persons of an organization which have a business relationship with the Credit Union
 - refer to the [Beneficial Ownership Determination Guidelines](#)
- Directors of an organization which have a business relationship with the Credit Union

6.1 Timing of Determination

Employees must determine PEP/HIO status in the following situations:

- upon membership opening;
- with the occurrence of any triggering events as referenced in these [Guidelines](#), or
- following the detection of a fact(s) which support potential PEP/HIO status.

6.2 Method of Determination

There are three methods for determining and documenting an individual's PEP/HIO status based on the circumstances and type of triggering event. Refer to the [Deciding Method of Determination](#) to identify the appropriate method for determining PEP/HIO status for specific scenarios and triggering event.

6.2.1 Verbal Declaration

Under specific circumstances, member-facing employees may obtain a verbal declaration as a determination of an individual's PEP/HIO status. See [Deciding the Method of Determination](#) for occasions when a verbal declaration is acceptable.

If it is determined or declared the individual is a PEP/HIO, a written declaration must be obtained.

If a verbal declaration is accepted the declaration and the details are to be recorded in:

- The Banking system
 - PEP/HIO fields completed in Person/Organization Record along with the date the declaration was obtained
- Customer relationship manager (CRM)
 - How and when (date) the declaration was obtained

6.2.2 Written Declaration

Member-facing employees can obtain a written declaration to determine an individual's PEP/HIO status. The details of the written declaration are as follows, and must be recorded:

- Complete the PEP declaration:
 - Politically Exposed Person Statement
 - Written PEP declaration in Personal Membership Contract (for new membership openings)
- The declaration and the details are recorded in:
 - The Banking System
 - PEP/HIO fields completed in Person/Organization Record along with the date the declaration was obtained
 - All documents uploaded to the member's file in the enterprise content management (ECM)

6.2.3 Assumption by AML Compliance Department

Through the course of regular ongoing monitoring of the Credit Union's members, the AML Compliance Department may make a reasonable assumption of a member's PEP/HIO status when there are multiple indicators supporting the determination. This process aligns with, and supports, the Credit Union's risk-based approach.

6.3 Refusal/Inaccurate PEP Determination

If a member refuses to complete a PEP determination, or if an employee suspects that a member is a PEP even though they state otherwise, the Credit Union employee must escalate to the AML Compliance Department for review before proceeding with opening any new accounts or conducting transactions.

An [Unusual Activity Report](#) must also be submitted to the AML Compliance Department. Refer to the [Unusual Activity Reporting Guidelines](#)

6.4 Deciding the Method of Determination

The below section outlines which method of determination is to be used to assess or reassess an individual's PEP/HIO status. Refer to the [Making a PEP/HIO Determination](#) section above for directions on documenting the appropriate determination.

6.4.1 New Personal Membership Opening

A written declaration is required for all individuals wanting to open a new personal membership. Individuals are required to complete a written PEP declaration in the membership contract.

If they declare themselves as a PEP/HIO, they are required to complete a *Politically Exposed Person Statement*, and a notification must be sent to the AML Compliance Department to conduct a risk assessment before accounts are opened. Refer to the [Positive PEP Determination](#) procedures below.

6.4.1.1 Junior Members

Age	Requirement
Minors under 12 years of age	PEP/HIO declaration is obtained from a PEP declaration of the parent /legal guardian.
Minors between 12 and 18 years of age	A PEP declaration can be made by a minor if they understand what they are declaring: • The parent/legal guardian's PEP declaration can be reviewed to verify the information provided in the minor's PEP declaration. • The minor's PEP status may be confirmed with the parent/legal guardian.

6.4.2 New Business Membership or Arrangement

Verbal confirmation by an authorized signatory can be made for the beneficial owners/controlling persons and directors if they are not present to do so at the business' membership opening.

If there is a declaration or indication any beneficial owners/controlling persons, directors, or an officer or manager with the highest seniority is determined to be a PEP/HIO, a written declaration must be completed by the individual by filling out a *Politically Exposed Person Statement*. Refer to the [Positive PEP Determination](#) procedures below.

6.4.3 Opening New Account

A reassessment of a member's PEP/HIO status is triggered at any subsequent account opening (e.g., demand accounts, loan accounts, and safety deposit boxes). Refer to the [Triggering Events Guidelines](#) for further examples.

If a personal member has an existing written declaration on file, and no status change has occurred, a verbal declaration is acceptable.

If a personal member has not already completed a written declaration, has an existing written declaration on file and a status change has occurred, or if there is an existing written declaration on file that was obtained prior to June 2017, a new written declaration is required, and the *Politically Exposed Person Statement* must be completed.

If an individual declares themselves a PEP/HIO refer to the [Positive PEP Determination](#) procedures below.

6.4.4 International Wire Transfer

A reassessment of a member's PEP/HIO status is triggered when processing a wire transfer in the amount of \$100,000 Canadian equivalent or more. Refer to the [Wire Transfer Guidelines](#) for further information.

If a personal member has an existing written declaration on file, and no status change has occurred:

- A verbal declaration is acceptable

A new written declaration is required, and the Politically Exposed Person Statement must be completed for the following scenarios:

- A personal member has not completed a written declaration as part of the membership application
- An existing written declaration is on file, but a change in PEP/HIO status has occurred
- An existing written declaration is on file, but it was completed prior to June 2017

If an individual declares themselves a PEP/HIO refer to the [Positive PEP Determination](#) procedures below.

The CAMLO or designate may update an existing member's PEP/HIO status related to an incoming wire transfer.

6.4.5 Detecting a Fact Indicating a Change PEP/HIO Status

A reassessment of a member's PEP/HIO status is triggered when a fact is detected about an existing account holder which indicates a PEP/HIO status change or connection.

Detecting a fact is to discover (proactively or not) information about an individual that may require us to review our business relationship with them (this includes a possible change in their PEP/HIO status).

Detecting a fact includes, but is not limited to obtaining information:

- from an existing member
- through your own knowledge of domestic and world events
- through open-source monitoring, or open-source searches run against the Credit Union membership database
- through monitoring efforts in place to run a search against third party databases (e.g., watch list scan)

If a fact is detected indicating an individual is a PEP/HIO that has not been previously identified, the following is required:

- An updated written declaration is required, and the *Politically Exposed Person Statement* must be completed
- Refer to the [Positive PEP Determination](#) procedures below

6.4.6 Periodic Reviews

A reassessment of a member's PEP/HIO status is triggered when conducting periodic monitoring review of existing account holders.

These may include reviews connected to:

- Wire Transfers

- Detecting a fact

- Updated PEP/HIO declaration

If a member had previously declared they are a Foreign PEP no updates are required because a Foreign PEP remains as one forever, unless they are a close associate who no longer has a connection to the Foreign PEP.

If an individual is determined to be a PEP/HIO refer to the [Positive PEP Determination](#) procedures below.

7 ‘Positive’ PEP/HIO Determination

All new and existing members are required to undergo a risk assessment if their written declaration deems them to be a PEP/HIO. When the Credit Union determines that an individual is a PEP/HIO a notification must be sent to the AML Compliance Department to conduct a risk assessment.

Staff must receive approval from the AML Compliance Department before a new member, who is identified to be a PEP/HIO, is given access to operate an account.

The AML Compliance Department will conduct a fair risk assessment or any adjacent assessments within 30 days of notification.

Note: To ensure there is a smooth member onboarding journey the AML Compliance Department will strive to complete a risk assessment as soon as reasonably practicable on new memberships, ensuring it is completed no later than 30 days from receipt of notification.

7.1 Domestic PEP/HIO, Close Associates, and Family Members

A Domestic PEP/HIO is not automatically considered to be high risk. A risk assessment is required to determine if the person poses a high risk from a money laundering or terrorist financing perspective. The Credit Union must also take reasonable measures to determine the source of funds that will be deposited to the account, and the individual’s overall source of wealth. This requirement applies to the following:

- Domestic PEP/HIO;
- family member of a Domestic PEP/HIO; or
- close associate Domestic PEP/HIO

7.2 Foreign PEP, Close Associates, and Family Members

A Foreign PEP must be automatically considered high risk and approval is required from the CAMLO, or designate, to open or maintain the relationship. The Credit Union must also take reasonable measures to determine the source of funds that will be deposited to the account, and the individual’s overall source of wealth.

This requirement applies to the following:

- a Foreign PEP
- family member of a Foreign PEP/HIO; or
- close associate Foreign PEP/HIO

7.3 PEP/HIO Source of Wealth & Source of Funds

If a determination has been made that a member is a PEP/HIO, reasonable measures must be taken to collect information pertaining to the source of funds that will be deposited and the individual's source of wealth. Reasonable measures include asking the member.

Should the member decline to provide the Credit Union with the information being requested, an [Unusual Activity Report](#) is to be completed and escalated to the AML Compliance Department for review and investigation. Refer to [Unusual Activity Reporting Guidelines](#) and [Unusual Activity Reporting Procedures](#).

7.3.1 Source of Funds

Source of funds refers to the origin of specified funds used to facilitate , or attempt to facilitate, a specific transaction. It is not the location the funds may have been transferred from, but where the funds initially originated from.

Reasonable measures must be taken to determine the source of funds for any deposit to an account held by a PEP/HIO. This includes, but is not limited to, asking the member directly.

The source of funds must be recorded on the *Politically Exposed Person Statement*, as well as in the Banking System.

7.3.2 Source of Wealth

Source of wealth refers to the origin of an individual's entire accumulated assets and net worth, detailing how they acquired their total wealth.

Reasonable measures are required to determine the source of wealth when a PEP/HIO is identified, which include but is not limited to, asking the member directly about:

- Investment accounts
- Registered accounts
- Credit facilities
- Assets

The Credit Union risk tolerance defines an individual as having significant wealth, when the known total assets value is \$2,500,000.00 CAD or more. Employees must take reasonable measures to ascertain whether a member has wealth as defined under the Credit Union's risk tolerance through the course of normal business practices including the onboarding process and ongoing conversations with members.

If a member is determined to have wealth, the source of wealth is recorded on the *Politically Exposed Person Statement*, in the Banking System using the PEP Source of Wealth field under the Person record, as well as being recorded in CRM.

7.4 High-Risk PEP/HIO

New and existing members, identified by the AML Compliance Department to be a high-risk PEP/HIO, cannot operate a demand account until they receive approval from the CAMLO, or designate, following a risk assessment.

In addition, enhanced due diligence measures may be applied to the membership. Some enhanced due diligence measures may include, but are not limited to:

- Obtaining the source of funds for all cash deposits made to accounts held by the PEP/HIO
- Potential service restrictions applied to the membership (e.g., wire transfers may be restricted, e-transfer services may be disabled, etc.)

In addition to ongoing monitoring, an annual review of all transactional activity is required with know your member information kept up to date and provided to the AML Compliance Department, as requested.

7.4.1 Wire Transfers for High-Risk PEP/HIO

When the Credit Union initiates or receives a wire transfer in the amount of \$100,000 Canadian equivalent or more for a person that is determined a high-risk PEP/HIO, you must:

- take reasonable measures to establish the source of the funds used for the transaction and to establish the source of the person's wealth; and
- ensure that a Director, Consumer Banking, the CAMLO or designate reviews and approves the transaction.

8 Record Keeping

If an individual is determined to be a PEP/HIO, the Credit Union is required to keep the following records:

- The office/position and organization/institution name of the PEP/HIO
- The date of the determination
- Records pertaining to the risk assessment conducted
 - The name of the CAMLO or designate who approved the membership
 - The date of approval

8.1 Transaction Recordkeeping Requirements

- Account records must be kept for at least five (5) years from the day the account was closed.

- Transaction records must be kept for at least five (5) years from the day the last business transaction was conducted.
- Maintaining a record of the nature of the relationship between family members/close associates with their PEP/HIOs.

8.2 Declaration Requirements

- Declaration must be recorded in the Banking System
- Verbal declaration details stored in CRM
- Written declaration details stored in ECM
 - Each individual must complete Politically Exposed Person Statement if identified or declared to be a PEP/HIO
- PEP/HIO details must be recorded in the Credit Union's AML software application by the AML Compliance Department

The PCMLTFA and associated Regulations require the Credit Union to keep PEP/HIO records relating to pre-paid payment products accounts & transactions (PPPA) and virtual currency (VC) transactions; however, as the Credit Union does not offer pre-paid payment product accounts nor conduct virtual currency transactions, no record keeping requirements are currently maintained.

Version History

DATE	VERSION	CHANGE
May 8, 2026	005	Sections Added: • Transparency, Anti-bribery, and Anti-corruption • Corruption Perceptions Index • Sanctions Against Corrupt Foreign Officials Sections Updated: • Overview – added additional clarification on PEPs, HIOs, Money Laundering, and Terrorist Activity Financing • International Organizations -added examples of International Organizations and examples of Institutions established by International Organizations • Opening New Account – added link to the Triggering Events Guidelines and when a new written declaration is required

DATE	VERSION	CHANGE
		International Wire Transfer – added when a new written declaration is required Foreign PEP, Close Associates, and Family Members – added reasonable measures to determine source of funds and source of wealth Source of Wealth – updated definition and Credit Union risk tolerance High-Risk PEP/HIO – updated annual review to include ongoing monitoring and member information kept up to date Wire Transfers for High-Risk PEP/HIO – changed Regional Growth Manager to Director, Consumer Banking
June 23, 2025	004	Sections Updated: Verbal Declaration removed reference to Salesforce, replaced with reference to CRM Written Declaration removed reference to Doxim/Nautilus, replaced with reference to ECM New Business Membership or Arrangement section title change to remove “Organizational” and replace with “Business” Source of Wealth removed reference to Salesforce, replaced with reference to CRM Declaration Requirements removed reference to Salesforce, replaced with reference to CRM and removed reference to Doxim/Nautilus, replaced with reference to ECM
April 29, 2025	003	Sections Updated: Making a PEP/HIO Determination removed Beneficial Ownership link Timing of Determination removed Triggering Events link